June, 2025

Economic Outlook Update Colombia

Crosswinds: between Macroeconomic Stabilization and Fiscal Challenges

Economic, Industry, and Market Research Area

Grupo Bancolombia

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Grupo Bancolombia

Overview

Crosswinds: between Macroeconomic Stabilization and Fiscal Challenges

In cycling, crosswinds are one of the most demanding challenges: invisible yet relentless, they destabilize the athlete's path, require greater effort to stay on course, and punish those who fail to adapt their strategy. This is how the Colombian economy is progressing in 2025—facing a landscape of crosswinds from both international and domestic factors, requiring stronger, more technical, and coordinated pedaling to preserve growth and stability.

Gusts of Global Tension

In 2025, the international environment has been marked by high uncertainty stemming from geopolitical tensions, tariff decisions, and a synchronized global growth slowdown. The global economy is projected to grow by just 2.5%, its lowest rate since the pandemic, while central banks in both advanced and emerging economies face difficult choices between maintaining price stability and supporting economic activity—leading to greater divergence in monetary policy. In the US, GDP is expected to grow by 1.9%, with PCE inflation at 2.6% and an unemployment rate holding steady at 4.2%, amid weaker fiscal momentum, tariff pressures, and still-restrictive monetary policy.

Oil prices are expected to be shaped by opposing forces: while the potential for peace between Russia and Ukraine and increased OPEC production exert downward pressure, the escalation of the conflict between Israel and Iran could push prices higher. In this context, we project an average Brent price of USD70.9 per barrel in 2025.

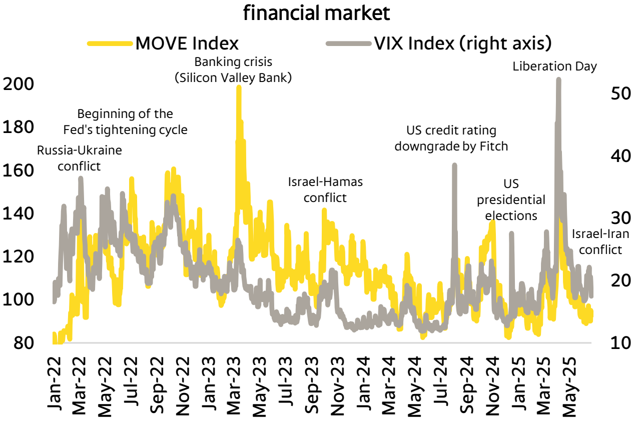
This will have direct implications for Colombia's external revenues and exchange rate. The growth of the country's main trading partners will be limited by the global situation, with projected expansions of 1.7% in 2025 and 1.8% in 2026.

Externally, the country will also face pressure from a deteriorating trade balance, which is expected to slightly widen the current account deficit. However, this will continue to be mainly financed through remittances and foreign direct investment (FDI), directed toward sectors outside the extractive industries. Outflows of factor income will remain contained due to lower profitability among companies with foreign investment.

The USDCOP exchange rate is expected to follow a moderate depreciation path, ending the year with an average of COP4,237. This trend will be driven by fiscal risks, the potential downgrade of the sovereign credit rating, and the Federal Reserve's monetary policy stance. However, factors such as the global weakness of the dollar and foreign investors' appetite for local assets may help mitigate exchange rate pressures.

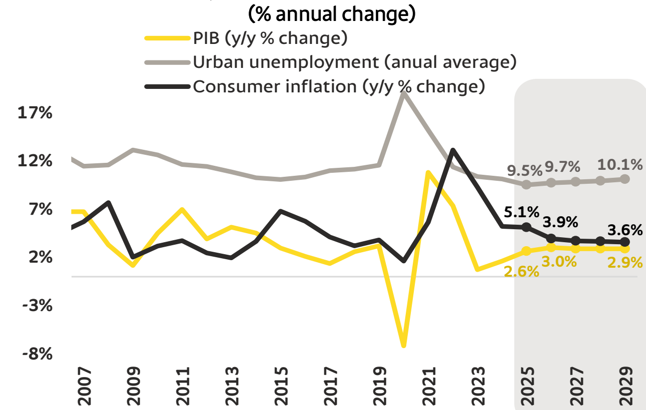
In 2025, the Colombian economy will follow a path of moderate recovery, with projected GDP growth of 2.6%. This expansion will be primarily driven by the strengthening of the private sector, particularly the dynamism of the trade, transportation, accommodation and food services (TTAF), entertainment, and agriculture sectors. Meanwhile, the public sector will continue to contribute, thanks to the additional spending room enabled by the activation of the fiscal rule's escape clause.

Figure 1. Volatility indicators in the US financial market



Source: LSEG Workspace, prepared by Grupo Bancolombia.

Figure 2. Projection of key macroeconomic variables (% annual change)



Source: DANE, Banrep, forecast by Grupo Bancolombia.

Overview

Crosswinds: between Macroeconomic Stabilization and Fiscal Challenges

Aerodynamics in Household Recovery

Domestic demand will continue to be the main tailwind driving economic recovery in 2025. The resilience of private consumption is surprising even in the current environment of global uncertainty and low consumer confidence. This may be due to more structural behavioral changes, in addition to cyclical factors such as the disinflation process and the reduction in interest rates.

Regarding prices, year-end inflation is expected to reach 5.1%, above the Bank of the Republic's tolerance range. Service inflation will remain the most persistent component due to high indexation and the effect of the minimum wage on rents. Core inflation (excluding food and regulated items) would be around 4.3%, reflecting a slow disinflation process with risks skewed to the upside.

Monetary policy will maintain a cautious approach, reflected in a more moderate path of rate cuts this year. We anticipate the policy interest rate will close at 8.25%, implying a still restrictive stance. This decision responds to the need to anchor inflation expectations and avoid second-round effects. Caution will be key amid a volatile external environment and inflation that remains above target.

Looking ahead, private consumption will benefit from lower interest rates, slowing inflation, strong remittance inflows, and labor market resilience. Fixed investment is expected to grow at a similar pace to 2024, although it will be conditioned by fiscal and political uncertainty.

Crosswinds: Fiscal and Monetary Challenges

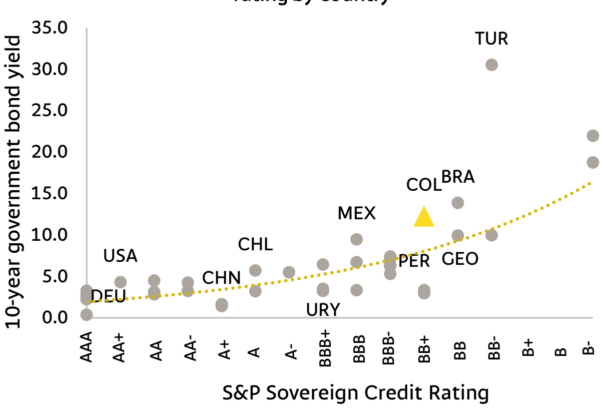
The fiscal outlook represents one of the main challenges. The fiscal deficit would reach 7.1% of GDP, with public debt rising to 63.3% of GDP. This deterioration is due to lower tax revenues, budgetary backlogs, and rigidities in spending. The activation of the fiscal rule's escape clause will allow a temporary deviation from targets, but fiscal sustainability will depend on structural reforms that increase revenues and rationalize spending.

Fiscal tensions act as a constant crosswind: they do not immediately knock the economy down but make it difficult to maintain a stable and reliable trajectory. Without compensation through improved spending efficiency and higher structural revenue, the current strain will also affect future outcomes.

In summary, Colombia will face a moderate economic recovery environment in 2025, but with significant challenges on the fiscal and monetary fronts. Macroeconomic stability will depend on the country's ability to maintain investor confidence, advance fiscal reforms, and preserve the credibility of monetary policy.

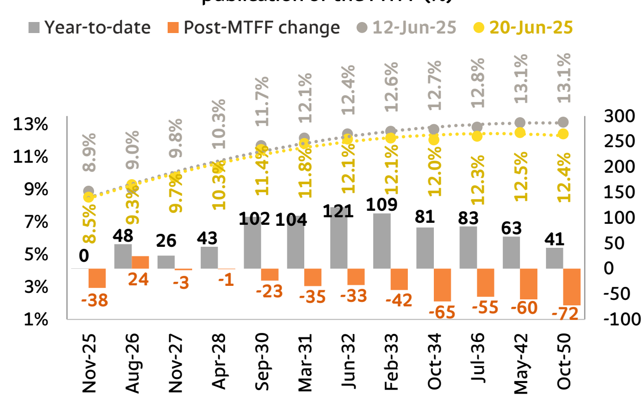
As in cycling, the challenge is not to avoid the crosswind but to learn to use it to your advantage. In this scenario, Colombia must firmly take the handlebars, form a cohesive economic peloton, share the fiscal effort, and keep its focus on the wheel of 2026.

Figure 3. 10-year government bond yield (%) vs. sovereign risk rating by country



Source: LSEG Workspace, prepared by Grupo Bancolombia.

Figure 4. Change in the fixed-rate TES yield curve since the publication of the MTFF (%)



Source: LSEG Workspace, prepared by Grupo Bancolombia.

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International Context

International Outlook: between Tariff Uncertainty and Geopolitical Conflicts

Global Trends

For 2025, consensus forecasts a slowdown in the global economy, with estimated growth of 2.5%, which would mark its weakest performance since the pandemic and the lowest expansion rate since 2001. This projection is based on a marked deceleration in US economic growth, a contraction in global merchandise trade resulting from changes in US tariff policy and retaliatory measures by its trading partners, as well as the effects of inventory accumulation and uncertainty generated by measures announced by the Trump administration.

These measures, together with the escalation of the conflict between Israel and Iran, could impact not only global growth but also pose additional challenges to the disinflation process, due to upward pressure on oil prices and, consequently, on fuel costs. In this context, we anticipate that central banks will face a significant dilemma between preserving price stability and stimulating economic activity. As a result, greater divergence in the pace of interest rate cuts is expected between central banks in advanced and emerging economies. Thus, the international outlook for 2025 remains characterized by uncertainty, tariffs, geopolitical conflicts, and expectations surrounding the monetary easing process.

US Economy

In 2025, US economic activity will be affected by reduced momentum in public spending, a projected deterioration in the labor market, a rebound in inflation in the second half of the year due to tariffs, a moderately accommodative monetary policy, and uncertainty associated with the economic policies of Donald Trump's administration. The tariffs will increase input costs for US industry, and China's retaliatory measures will pose an additional challenge for exports. Despite the agreement reached with the Asian giant, the average US import tariff remains at its highest level in at least 80 years. **In this context, we maintain our expectation of weakening US growth, with GDP expanding by 1.9% in 2025, following growth of 2.8% in 2024.**

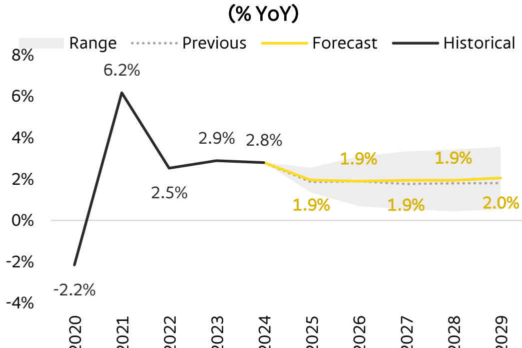
Meanwhile, the labor market has shown mixed signals so far in 2025, with an unemployment rate holding steady at 4.2% over the past three months and a slowdown in job creation. We expect hiring to be constrained by declining investment, business caution, government spending cuts, and migration policy. **Against this backdrop, the average unemployment rate is expected to rise to 4.2% in 2025, up from the 2024 average of 4.0%.**

Table 1. FocusEconomis forecast
(% YoY)

Region	Avg. 2010-2019	Jun-25		Ch. Jun-25 vs Mar-25	
		2025	2026	2025	2026
World	**3.7%**	**2.5%**	**2.6%**	**-0.3%**	**-0.2%**
United States	2.4%	1.5%	1.6%	-0.6%	-0.4%
Euro Area	1.4%	0.9%	1.2%	-0.1%	-0.1%
China	7.7%	4.4%	4.1%	-0.1%	-0.1%
Japan	1.2%	0.9%	0.7%	-0.3%	-0.2%
Latin America	**2.0%**	**2.0%**	**2.1%**	**-0.2%**	**-0.2%**
Brazil	1.2%	2.1%	1.8%	0.1%	0.0%
Mexico	1.2%	0.2%	1.4%	-0.7%	-0.3%

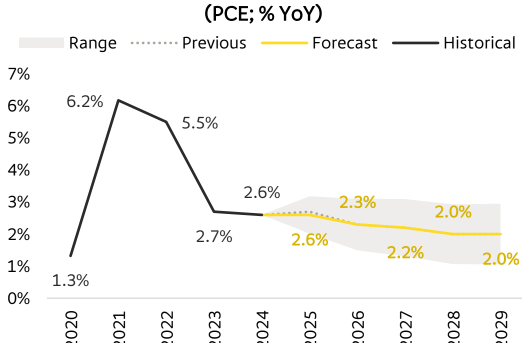
Source: FocusEconomics, prepared by Grupo Bancolombia.

Figure 5. US GDP growth forecast
(% YoY)



Source: Federal Reserve, forecast by Grupo Bancolombia.

Figure 6. US inflation forecast
(PCE; % YoY)



Source: Federal Reserve, forecast by Grupo Bancolombia.

International Context

The US Could Face Stagflationary Headwinds, Prompting Federal Reserve to Maintain Cautious Stance

In terms of prices, we forecast that annual PCE inflation—which measures how much consumers pay for goods and services—will close 2025 at 2.6%, above the Federal Reserve's target. This figure represents a downward revision of 0.1 percentage points from our March forecast, reflecting the downside surprise observed in the early months of the year. In the second half of 2025 (2H25), risks remain tilted to the upside, given that prices could be pressured by higher costs of imported goods, migration policy, and the extension of tax relief.

Given this, we maintain our expectation that the Federal Open Market Committee will implement only two 25-basis-point interest rate cuts in 2025, which would bring the policy rate to a range of 3.75%–4.00% by year-end. For 2026, we project additional cuts totaling 75 basis points, bringing the rate to a range of 3.00%–3.25% by the end of that year.

Oil Prices

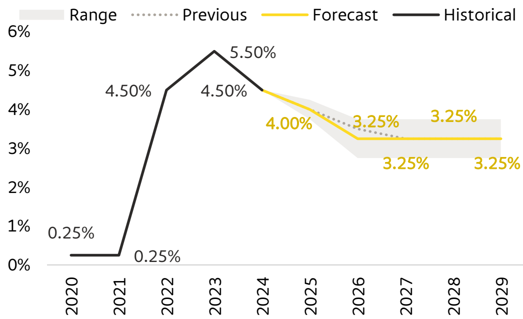
In 2025, oil prices have been driven by opposing forces. On one hand, the prospect of a potential peace agreement between Russia and Ukraine, increased OPEC production since April, and expectations of lower demand contributed to a decline in Brent prices, particularly in April and May. However, the recent escalation of the conflict between Israel and Iran in mid-June intensified concerns about crude supply. This conflict triggered a significant rebound in oil prices, surpassing USD 70 per barrel.

Given the high uncertainty surrounding the duration of the conflict and considering that supply-side pressures remain relevant, we anticipate that the average Brent price will stand at USD 70.9 per barrel in 2025. However, we caution that the intensification of the conflict in Iran introduces an upside risk to our baseline scenario. Going forward, oil demand and supply will be influenced by the energy transition—especially in Europe—and by slower GDP growth in China. Considering this, we expect oil prices to remain near USD 70 per barrel in the medium term.

Trade Partners

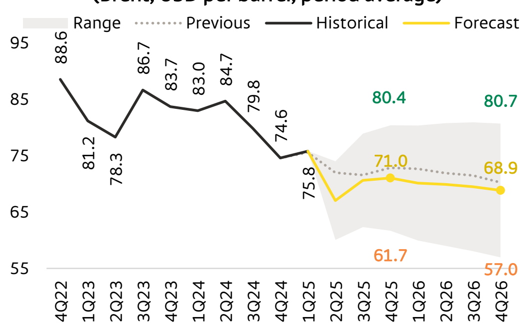
In the short term, the global trade and geopolitical situation is expected to put downward pressure on the growth of Colombia's main trading partners. The uncertainty and volatility induced by the trade war, along with the intensification of the conflict in the Middle East following Israel's attacks on Iran, are affecting the outlook for 2025 and 2026. In those years, we project that our trade partners will grow by 1.7% and 1.8%, respectively. Later, a possible peace agreement between Russia and Ukraine, together with the gradual reconfiguration of global trade trends and supply chains, would allow for a convergence toward 2.0% growth.

Figure 7. Fed funds rate forecast (% YoY upper bound)



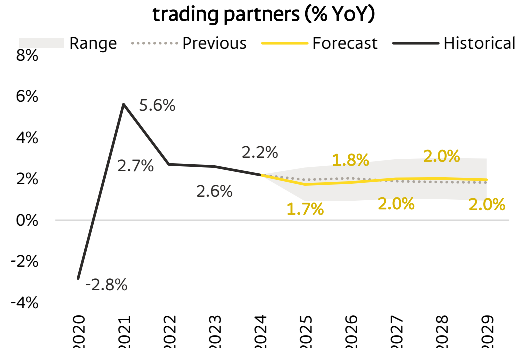
Source: Federal Reserve, forecast by Grupo Bancolombia.

Figure 8. Oil price forecast (Brent, USD per barrel, period average)



Source: Reserva Federal, forecast by Grupo Bancolombia.

Figure 9. Forecast of GDP growth of Colombia's main trading partners (% YoY)



Source: IMF, forecast by Grupo Bancolombia.

Economic Growth

Resilience of Household Income Sources would Support Consumer Spending and Bolster Private Sector Activity

GDP growth continued its recovery, posting a 2.7% year-over-year expansion in Q1-25 (see here), which came in above our previous forecast. On a seasonally adjusted basis (SA), quarterly growth showed a slight deceleration compared to the 0.9% increase observed in Q4-24. Nonetheless, the annualized quarterly expansion rate remained above recent estimates of potential growth (2.8% y/y), signaling increasing signs of resilience despite ongoing risks stemming from global trade tensions, geopolitical uncertainty, and domestic fiscal challenges. Furthermore, Bancolombia's NowCast (see here) suggests that GDP growth in Q2-25 could reach 2.5% y/y.

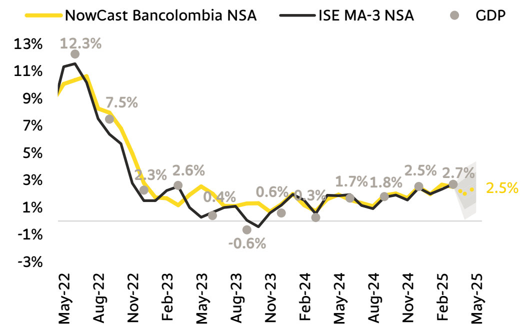
First-quarter figures revealed solid performance across both the public sector (comprising public administration, health, and education) and the private sector (encompassing the remaining macrosectors). The public sector grew by 0.4% q/q SA in Q1-25, following a year of elevated growth rates in 2024. Meanwhile, the private sector posted its second consecutive quarter of growth, with a 0.6% q/q SA expansion.

The recovery of the private sector is particularly important, as it includes key macrosectors that are expected to drive growth in 2025 and beyond. We anticipate continued recovery in sectors such as manufacturing and construction — though not without challenges — throughout the year. Moreover, the public sector stands to benefit from the wider fiscal space created by the elevated deficit outlined in the Medium-Term Fiscal Framework (MTFF), following the temporary suspension of the fiscal rule.

The commerce, transportation, accommodation, and food services (CTAF), agriculture, and entertainment macrosectors led the recovery and remain key growth drivers. These sectors form the foundation of the private sector's strengthening and are expected to continue propelling the economy over the coming quarters. In this context, we expect that the ongoing reduction in interest rates and inflation — albeit at a slower pace than previously anticipated — within a more stable macroeconomic environment, will support private sector dynamics through 2025 and 2026.

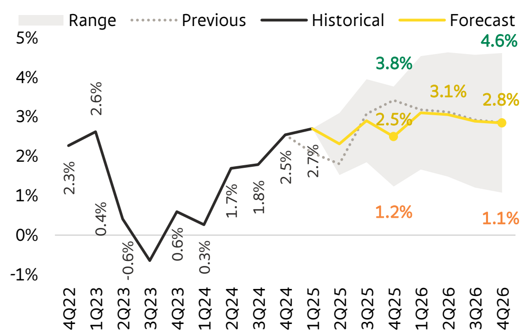
Overall, we maintain our GDP growth forecast at 2.6% for 2025, 3.0% for 2026, and 2.9% for 2027, pointing toward a medium-term stabilization at just below 3.0%. The sectors that drove growth in 2024 and Q1-25 are expected to remain resilient in the near term. This outlook is underpinned by household budget relief from lower inflation and interest rates, the sustained strength of remittances as a source of household spending, and a resilient labor market, where a significant rise in unemployment is not anticipated for this year. As such, household income resilience will likely continue to support consumption.

Figure 10. DANE's ISE and NowCast Bancolombia (% YoY)



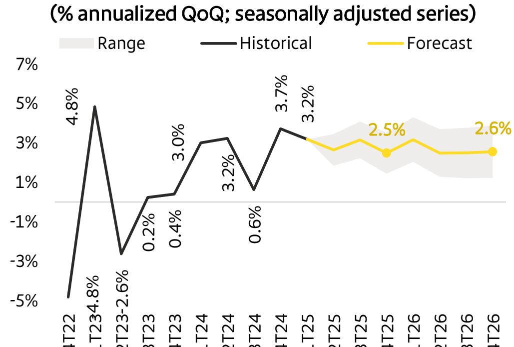
Source: DANE, Grupo Bancolombia.

Figure 11. Forecast of GDP growth by quarter (% YoY)



Source: DANE, forecast by Grupo Bancolombia.

Figure 12. Forecast of sequential GDP growth (% annualized QoQ; seasonally adjusted series)



Source: DANE, forecast by Grupo Bancolombia.

Economic Growth

Stronger Domestic Demand would Place Pressure on Trade Deficit and Private Consumption, while Investment would Grow at the Same Pace as in 2024

Economic growth would settle at levels closer to its medium-term potential (sustainable pace). This would occur in a context in which, although inflation in Colombia remains above the target range and inflationary pressures persist in the US due to tariffs and local fiscal imbalances, the interest rate would gradually return to its neutral level, while international markets reach a progressive stabilization.

Expectations surrounding the 2026 legislative and presidential elections will be key for investment appetite. However, fiscal uncertainty remains a structural constraint. The higher deficit (7.1% of GDP) for 2025 presented in the Medium-Term Fiscal Framework (MTFF), the temporary suspension of the fiscal rule, and rising debt translate into doubts about medium-term sustainability, in a context of political tensions, rigid public spending, and the urgent need for tax and fiscal reforms. All of this continues to weigh on country risk perception and market interest rates.

We maintain a medium-term view of potential growth close to—but below—3%. The persistence of investment below 20% of GDP and the marked deceleration in population growth imply a slower expansion pace of productive factors compared to historical benchmarks.

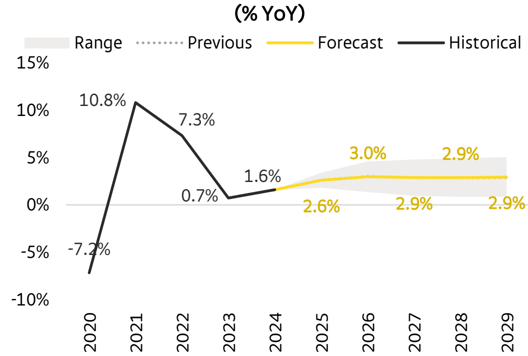
Demand Components

We expect fixed investment to accelerate, despite facing short-term challenges. We anticipate 3.5% growth for this component in 2025 and 3.7% in 2026—a modest outlook relative to historical averages and previous forecasts. The progress of infrastructure projects at the subnational level will be crucial.

Private consumption will maintain an upward trend. We expect that continued interest rate cuts—a less contractionary monetary policy—and lower inflation will ease household budgetary pressures, boosting demand for final goods and services. The recovery that began in 2024 will extend into 2025 (3.3%) and the medium term. In addition, the resilience of the labor market, the strength of remittance income, and a lighter financial burden will contribute positively, despite the fiscal challenge that limits further reductions in commercial interest rates.

In contrast, the contribution from public spending will be modest, although better than previously expected, given the larger fiscal deficit programmed by the government for this year. Meanwhile, imports would grow due to improved domestic demand and a relatively stable USDCOP exchange rate. At the same time, exports would grow at a slightly faster pace, supported by the relative strength of services and non-traditional goods segments, despite the significant decline in oil and coal exports.

Figure 13. Medium-term GDP growth forecast (% YoY)



Source: DANE, forecast by Grupo Bancolombia.

Table 2. GDP growth by demand (% YoY; 4Q19=100)

Item	Annual % change				Index 2019 = 100			
	2023	2024	2025	2026	2023	2024	2025	2026
Total GDP	**0.7%**	**1.7%**	**2.6%**	**3.0%**	111.2	113.2	116.1	118.9
Total consumption	0.6%	1.2%	2.9%	3.0%	119.5	120.7	124.2	127.3
Private	0.4%	1.6%	3.3%	3.0%	121.2	122.7	126.7	129.3
Public	1.6%	-0.5%	1.1%	2.7%	111.8	112.2	113.5	118.4
Fixed investment	-12.7%	3.0%	3.5%	3.7%	86.7	88.3	91.3	93.1
Exports	3.1%	2.0%	2.1%	2.4%	103.0	106.7	108.9	110.3
Imports	-9.9%	4.2%	3.0%	1.4%	113.2	116.8	120.3	119.8

Source: DANE, forecasts by Grupo Bancolombia.

Economic Growth

Services will Lead Growth; Manufacturing will Advance Slightly, while Construction and Agriculture will Slow Versus 2024

The agricultural sector is expected to act as the main growth driver among primary activities, while mining is projected to deteriorate further in 2025 before registering a slight recovery in 2026. Mining output would be affected by weaker performance in certain traditional export commodities (coal and oil), due to lower international prices—shaped by the geopolitical context—the gradual decline in demand linked to the energy transition, and regulatory disincentives to domestic production. In contrast, agricultural growth would stand 3.7 percentage points above its historical average, driven by strong performance in coffee production—supported by high international prices—as well as in the flower, banana, and avocado sectors.

Secondary activities—manufacturing and construction—are expected to show weak performance, influenced by interest rates, housing market developments, and investment in infrastructure projects. This year, we expect manufacturing output to show signs of recovery due to increased demand for durable goods. This would extend the positive trend observed in Q4-24 and Q1-25. By contrast, construction contracted in Q1-25. Building activity faces pressure from high inventory levels, despite recent improvements in housing sales, while civil works are progressing due to specific infrastructure projects. Interest rate reductions will have a positive effect on the sector; however, its short-term performance will depend on progress in infrastructure works, the availability of subsidies, and changes in the investment budget of INVÍAS.

Tertiary activities—services—will remain the main pillar of growth. The financial sector will benefit from the recovery in domestic demand and falling interest rates, although fiscal challenges, monetary policy uncertainties, and international financial volatility persist. Professional services will grow, supported by economic reactivation and the demand for public services. Meanwhile, online betting and digital purchases or subscriptions will help entertainment activities maintain growth above the overall GDP rate.

Finally, the commerce, transportation, accommodation, and food services (CTAF) macrosector, along with public administration, health, and education, will show similar dynamics in 2025 and 2026. Lower interest rates, the disinflationary process, and resilient labor income will continue to stimulate consumption, trade, and domestic tourism. In contrast, expansion in public administration, defense, health, and education—despite the constraints posed by the need for fiscal adjustment—will be temporarily supported in the short term by the announced increase in the fiscal deficit for 2025. However, from 2026 onward, this macrosector will need to relinquish its role as a key driver of economic growth.

Table 3. GDP growth by industry
(% YoY; base 2019=100)

Sector	Annual % change			Index 2019 = 100		
	2024	2025	2026	2024	2025	2026
GDP	**1.6%**	**2.6%**	**3.0%**	112.9	115.9	119.4
Entertainment and other services	8.2%	8.8%	5.0%	181.6	197.6	207.5
Communications	-0.8%	1.8%	4.9%	124.3	126.5	132.8
Financial activities	0.4%	2.6%	3.6%	123.7	126.9	131.5
Construction	1.9%	1.0%	2.7%	77.3	78.1	80.2
Agriculture	8.0%	4.4%	3.4%	115.8	120.8	124.9
Commerce, logistics and accomodation	1.4%	4.0%	3.4%	113.6	118.1	122.1
Real estate	1.9%	2.0%	2.6%	110.2	112.4	115.3
Professional and admin. activies	-0.1%	1.3%	2.7%	113.6	115.1	118.2
Taxes	1.1%	1.1%	1.7%	124.3	125.7	127.9
Public sector, health, education	3.3%	4.0%	3.0%	119.3	124.1	127.8
Manufacturing	-2.1%	0.4%	2.5%	106.2	106.6	109.3
Utilities	1.9%	0.3%	2.7%	110.9	111.2	114.2
Mining	-5.0%	-5.5%	0.4%	83.7	79.0	79.3

Source: DANE, forecasts by Grupo Bancolombia.

Labor Market

Labor Market Dynamics would be Favorable, with Average Unemployment Rate in 2025 Remaining in Single Digits

The urban unemployment rate has followed a downward trend throughout 2025, driven by strong labor demand, momentum in public sector employment, and moderate household participation in the labor market. This led to a historically low seasonally adjusted unemployment rate of 8.8% in April.

So far in 2025, the labor market has shown a surprisingly strong performance, marked by historically low unemployment levels. This outcome has been supported by increases in both the employment rate (ER) and labor force participation rate (LFPR), in contrast to what was observed in 2024. The improvement in employment reflects a rise in the number of people generating labor income. However, the evolution of the LFPR could be influenced by remittance income levels, as changes in US immigration policy may alter future labor market participation needs.

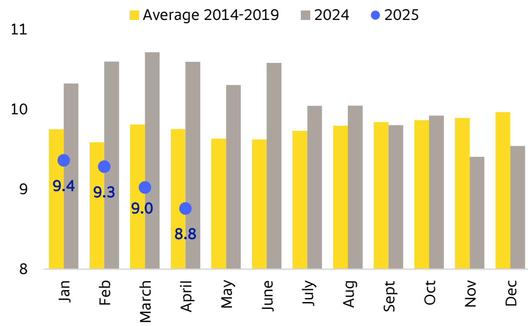
The GDP rebound in some sectors has translated into greater job creation. Service sectors—particularly CTAF, entertainment, the public sector, health, and education—have been the main job generators in 2025. However, the sectors contributing most to employment are also those with high levels of informality, raising concerns about the sustainability of this trend.

For 2025, we forecast a decline in the average unemployment rate to 9.50%. We expect the private sector to maintain its growth trajectory, supporting continued labor demand. The CTAF macrosector, entertainment, and the public sector will likely remain the primary sources of employment. Meanwhile, increased activity in manufacturing and construction should help prevent a significant decline in employment from these sectors, offsetting weaker dynamics in primary activities.

In this context, we find that the labor market's evolution will depend on household consumption-linked sectors and labor force participation. The resilience of remittance flows appears to be a key factor behind the limited labor market participation of some households. As long as this income stream remains strong, the LFPR will likely stay below its historical average.

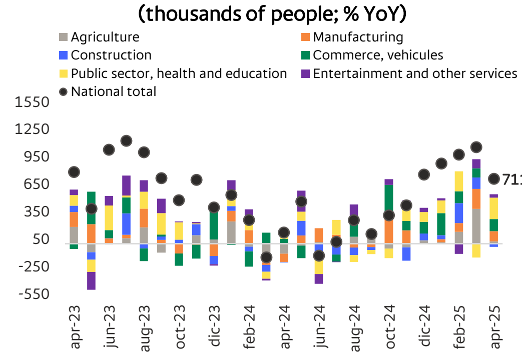
Over the medium term, we project a gradual convergence of the unemployment rate toward 10.1%, reflecting the expectation that public sector employment will lose momentum as fiscal consolidation advances and incorporating the effects of a decline in the country's estimated potential growth rate.

Figure 14. Monthly SA national total unemployment rate (% of EAP, annual average; 13 areas, average 2014-2019; 2024; 2025)



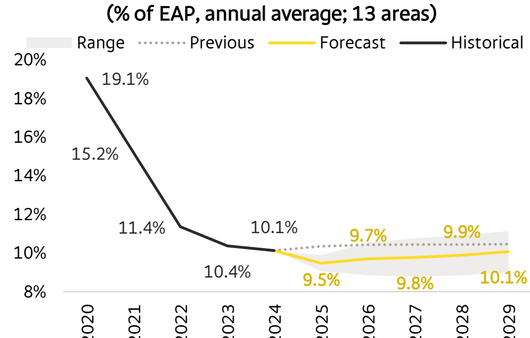
Source: DANE, prepared by Grupo Bancolombia.

Figure 15. Decomposition of employment by sectors (thousands of people; % YoY)



Source: DANE, prepared by Grupo Bancolombia.

Figure 16. Urban unemployment rate (% of EAP, annual average; 13 areas)



Source: DANE, forecast by Grupo Bancolombia.

Public Finances

Fiscal Deterioration would be Driven by Weaker Revenue Dynamics, Budgetary Lag, and Spending Inflexibilities

Our forecast points to a fiscal deficit of 7.1% of GDP in 2025, consistent with the Ministry of Finance's estimates in the 2025 Medium-Term Fiscal Framework (MTFF). This would represent a clear deterioration in the country's fiscal position and would lead to a significant increase in public debt, which we estimate will reach 63.3% of GDP. As a result, we believe that fiscal consolidation will remain a top-tier challenge for the Colombian economy. The increase in the sovereign risk premium will translate into higher interest payments, adding further pressure to fiscal sustainability.

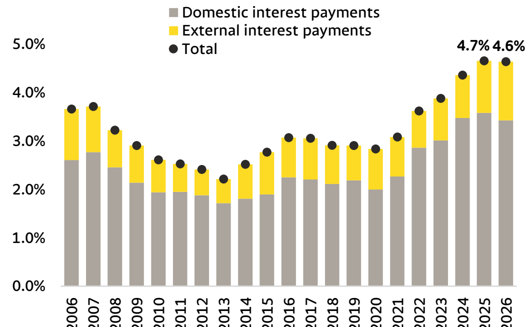
For 2025, the gap between actual and projected tax revenue partly explains the sharp widening of the fiscal imbalance. According to DIAN data, during the first five months of the year tax revenue fell short by COP14.4 trillion compared to the expectations set in the February Financial Plan. This led the Ministry of Finance to revise its full-year revenue forecast downward by approximately COP18.5 trillion in the MTFF. Although this adjustment reflects greater caution, it remains optimistic in light of historical performance.

On the expenditure side, public spending has faced upward pressure due to the large carryover of unexecuted budget items from 2024 and structural rigidities within the National General Budget. In the MTFF, primary expenditure (excluding interest) was revised upward by COP20.7 trillion due to high levels of budgetary reserves and outstanding payables from the 2024 fiscal year, amounting to COP55.4 trillion in total.

The limited fiscal space—resulting from the structural mismatch between revenue and expenditure dynamics—led the government to activate the escape clause of the Fiscal Rule. This measure was approved by the Fiscal Policy Council (CONFIS), which authorized a temporary deviation from the rule's targets for a three-year period. In our view, this decision weakens the credibility of the fiscal framework.

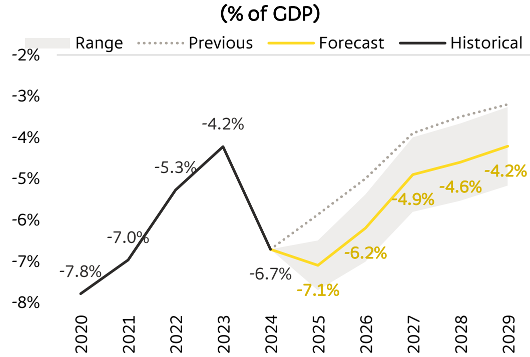
In summary, although the MTFF reflects a more realistic fiscal stance, a high degree of uncertainty about medium-term sustainability persists, which will continue to put pressure on the sovereign risk premium. Our revenue projections suggest that the government will face difficulties in meeting the 2.4% of GDP primary deficit target, which could require lower-than-planned spending execution. Moreover, avoiding an unsustainable debt trajectory over the medium term will require advancing structural reforms aimed not only at significantly increasing revenues but also at rationalizing public spending.

Figure 17. Estimated external and internal interest payments in the 2025 MTFF (% of GDP)



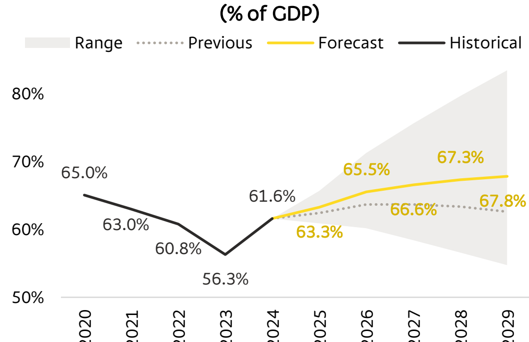
Source: Ministry of Finance, forecast by Grupo Bancolombia.

Figure 18. Fiscal Government Balance (% of GDP)



Source: Ministry of Finance, forecast by Grupo Bancolombia.

Figure 19. Central Government debt (% of GDP)



Source: Ministry of Finance, forecast by Grupo Bancolombia.

Trade Balance of Goods

Trade Balance is Expected to Deteriorate Further, in a Scenario Where Imports Grow Faster than Exports

Goods Trade Balance

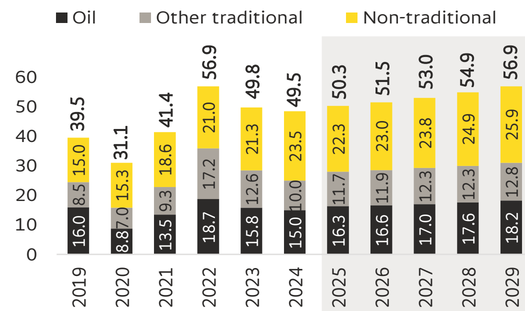
Goods trade began 2025 with a wider deficit, driven by strong import performance, while exports displayed mixed dynamics. The increase in imports is attributed to the economic recovery and stronger domestic demand, which has led to higher foreign purchases and a reactivating investment process. This trend is evident across consumption goods, intermediate goods, and raw materials—key inputs for local industries. On the other hand, exports have been affected by lower international prices for coal and oil, increased domestic consumption, and reduced exploratory activity, which has lowered local production of these commodities.

For 2025, we expect Colombia's trade deficit to widen further, due to strong growth in imports. Lower interest rates, the ongoing (albeit slower-than-expected) disinflation process, and stronger domestic demand for goods will continue to fuel import growth, particularly for consumer goods. Imports of intermediate goods and raw materials will also expand, reflecting GDP growth and an investment cycle in recovery. However, capital goods imports may be constrained if fiscal uncertainty persists and local borrowing costs rise, due to heightened risk perception and threats to the sovereign credit rating. This could happen despite growing interest in local investment, within a context of relative macroeconomic stabilization and upcoming presidential elections.

We expect exports to return to growth in 2025, following a slight contraction in 2024. This rebound would be driven by strong performance in certain products, despite challenges faced by Colombia's main trading partners and declining local mining output. Oil exports may be negatively impacted by falling international prices, caused by global oversupply from OPEC+ and weak demand. However, external factors such as geopolitical conflicts could exert upward pressure on prices, partially offsetting this risk. Coal exports will depend on price trends and local weather conditions. Regarding coffee, after strong gains early in 2025, we expect solid production performance, with prices remaining elevated—although sensitive to weather conditions.

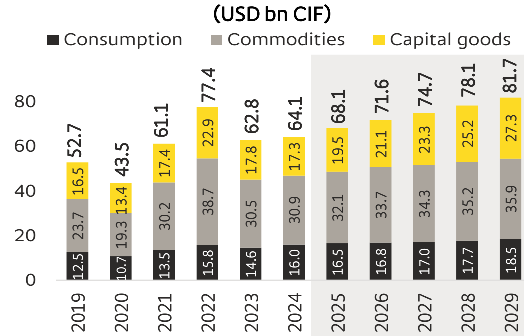
Non-traditional exports will depend on demand from Colombia's key trade partners. Non-monetary gold will continue to be a key contributor, supported by strong price dynamics amid high demand for safe-haven assets in a context of geopolitical tensions and market volatility.

Figure 20. Goods exports scenario (USD bn FOB)



Source :DANE and Central Bank, forecasts by Grupo Bancolombia.

Figure 21. Goods imports scenario (USD bn CIF)



Source: DANE and Central Bank, forecasts by Grupo Bancolombia.

Balance of Payments

Current Account Deficit Remained Low through 2024, but Widening Trade Deficit will Begin to Push It Higher Starting in 2025

Regulatory decisions and tariff discussions will influence the trade imbalance in the medium term. The energy transition will be key to the future of the hydrocarbon sector, while environmental sustainability and energy security policies could transform the local energy matrix, affecting the trade of fuels and clean technologies. In addition, US-imposed tariffs, along with potential retaliatory measures, could alter the prices of both exported and imported goods. In this context, the outlook is mixed, with risks and opportunities depending on the trade partner.

Balance of Payments

The current account deficit is expected to remain low by historical standards in the short term. At present, the wider goods trade deficit has been offset by an improved balance in the trade of services, with a favorable outlook for inbound tourism to Colombia for the remainder of 2025. However, the improvement in the domestic macroeconomic environment could also encourage more outbound tourism.

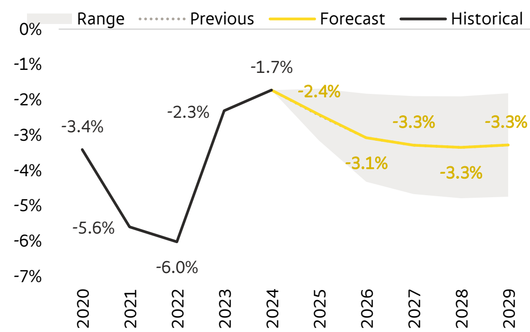
Factor income outflows are expected to remain relatively subdued. Lower profits for companies with foreign direct investment (FDI) in Colombia—particularly in the mining sector—will limit growth in this component. The recent decline in energy commodity prices helps explain this trend.

Remittances are expected to remain the main source of financing for the trade deficit. Their strong performance since 2024 has been driven by increased Colombian migration to the US, resilient economic conditions, and stable labor markets in that country. However, we expect current transfers—primarily remittances—to stabilize in the medium term at around 3.3% of GDP, though uncertainty remains regarding the potential impact of US migration policy and economic performance (see here).

Foreign direct investment (FDI) declined again at the beginning of 2025, due to low investment appetite in the oil and mining sectors. Going forward, amid the economic recovery process, we expect service and secondary activity macrosectors to become more attractive to these flows. Moreover, as the current account deficit is expected to remain low by historical standards, we believe FDI will continue to fully cover the external imbalance during this year and in the years ahead.

Overall, the current account deficit in 2025 is projected to widen (i.e., become more negative). As GDP growth continues its recovery path, the deficit would move closer to its historical average, driven by the growing trade imbalance. Meanwhile, factor income outflows will remain stable, and remittances will consolidate as a key source of external deficit financing. For 2026 and beyond, we anticipate a continuation of the trends seen in the main components this year, within a context of stabilizing macroeconomic fundamentals.

Figure 22. Medium-term current account balance scenario (% of GDP)



Source: DANE and Central Bank, forecast by Grupo Bancolombia.

Table 4. Current account balance components (% GDP)

Item	Units	2024	2025	2026	2027	2028	2029
Current account balance	% of GDP	**-1.7%**	**-2.4%**	**-3.1%**	**-3.3%**	**-3.3%**	**-3.3%**
	USD mn	**-$ 7.2**	**-$ 10.6**	**-$ 14.2**	**-$ 15.8**	**-$ 16.8**	**-$ 17.3**
Goods	% of GDP	-2.2%	-1.9%	-2.0%	-2.1%	-2.2%	-2.3%
	USD mn	-$ 9.2	-$ 8.2	-$ 9.2	-$ 10.0	-$ 11.2	-$ 12.3
Services	% of GDP	-0.1%	-0.8%	-0.9%	-1.0%	-1.1%	-1.1%
	USD mn	-$ 0.3	-$ 3.5	-$ 4.1	-$ 4.8	-$ 5.4	-$ 5.8
Primary income	% of GDP	-3.2%	-3.2%	-3.6%	-3.5%	-3.3%	-3.1%
	USD mn	-$ 13.3	-$ 13.8	-$ 16.5	-$ 17.0	-$ 16.8	-$ 16.3
Remittances	% of GDP	3.7%	3.5%	3.4%	3.4%	3.3%	3.3%
	USD mn	$ 15.5	$ 15.0	$ 15.6	$ 16.1	$ 16.6	$ 17.1

Source: Records from DANE and Central Bank, forecasts by Grupo Bancolombia.

Exchange Rate

USDCOP is Expected to Show Slight Depreciation Trend in 2025 amid Deteriorating Public Finances

So far in 2025, the USDCOP exchange rate has appreciated by 7.1%. This behavior has been influenced by the global depreciation of the USD, the recent rebound in oil prices, the still favorable carry trade strategy, the partial recovery of portfolios in emerging markets, and expectations surrounding the 2026 elections. However, the international environment remains characterized by high volatility and uncertainty linked to tariff measures and geopolitical conflicts.

During the first half of the year, the DXY index—which measures the dollar's performance against a basket of major currencies—declined by 9.0%, affected by growing concerns over the impact of tariffs on US economic growth, weakening its status as a safe-haven asset. In this context, assets such as gold, the euro, and the Japanese yen have strengthened. Gold has risen by 28.1% year-to-date, while the euro and yen have appreciated by 11.3% and 7.1%, respectively.

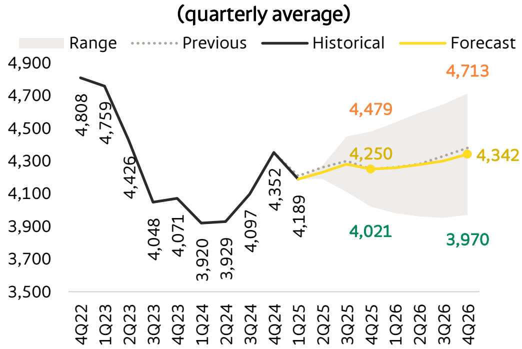
Adding to this scenario was the recent surge in oil prices—Colombia's main export commodity. In the third week of June, the Brent benchmark rose by 11.3% following the outbreak of the conflict between Israel and Iran, the third-largest OPEC producer. Concerns about global crude supply have driven up prices, which could boost dollar inflows into Colombia and support improved public finances.

The national government announced the suspension of the Fiscal Rule between 2025 and 2027, meaning the adjustment process will not begin this year. Starting in 2026, the fiscal plan will heavily depend on the approval of a tax reform aimed at increasing revenues and a fiscal reform focused on rationalizing spending—both facing foreseeable challenges in Congress. Given this, a downgrade of the sovereign credit rating is reasonably expected in the coming months, which would put upward pressure on the exchange rate.

Thus, we project that the USDCOP will follow a path of moderate depreciation in the coming quarters. This trend would be supported by the Federal Reserve's "higher for longer" stance, fiscal risks, and the possibility of a correction in oil prices due to supply-side factors. However, global dollar weakness and election-related trade flows may provide some support to the Colombian peso. Additionally, the second half of the year will continue to be marked by tariff uncertainty and the evolution of geopolitical conflicts.

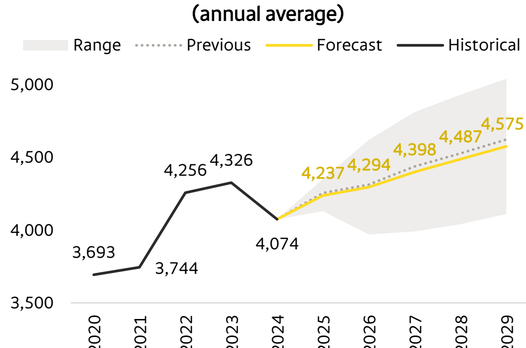
These factors are expected to lead to an average USDCOP exchange rate of approximately COP4,237 in 2025, implying a 4.0% depreciation compared to the 2024 average (COP4,074). In the medium term, the USDCOP is projected to return to its historical path of gradual depreciation, amid ongoing uncertainty regarding the sustainability of public finances. Meanwhile, the 2026 electoral process is emerging as a key factor that could significantly influence offshore investment decisions.

Figure 23. USDCOP short-term forecast (quarterly average)



Source: Central Bank, forecast by Grupo Bancolombia.

Figure 24. USDCOP medium-term forecast (annual average)



Source: Central Bank, forecast by Grupo Bancolombia.

Consumer Inflation

Annual Inflation is Expected to Range 5.0%-5.3% during 2H25, Ending the Year at 5.1% due to Persistent Inflationary Pressures

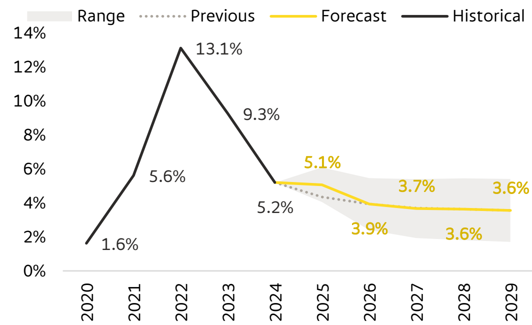
We anticipate that the disinflation process will experience a period of stagnation over the remainder of the year, driven by more pronounced base effects and recent upside risks. In 2024, inflation declined by 4.1 percentage points (pp), falling from 9.28% in January to 5.20% in December, because of a marked slowdown in the inflation of goods, services, and regulated prices. However, as of May 2025, annual inflation has only decreased by 0.1 pp year-to-date, while year-end expectations have increased by 0.9 pp since November. We believe this dynamic is mainly explained by the increase in the minimum wage and its indexation effect on services, the evolution of utility tariffs, and rising food prices.

Given this outlook, **we anticipate a more limited margin for disinflation during 2025. Annual inflation is projected to end the year at 5.1%, above the upper bound of the central bank's target range, marking the fifth consecutive year of target deviation (3%).** We believe this outcome would be driven by high indexation in service prices, exchange rate pass-through to imports, fiscal deterioration and its impact on the exchange rate, the evolution of utility tariffs, and ongoing trade and geopolitical uncertainty.

- **Goods: This segment is expected to remain the best performer.** Annual inflation would stay below 3%, despite the strengthening of domestic demand, in line with the current monetary policy stance and exchange rate dynamics. However, global trade and geopolitical tensions could exert upward pressure on the prices of imported goods.
- **Services: High indexation remains the main challenge for this segment, following the significant increase in the minimum wage for 2025.** This situation is particularly concerning for the rent component—which accounts for approximately 51% of the total services basket—as it adjusts based on past inflation and has shown a slow disinflationary trajectory.
- **Food: Annual inflation for this category is expected to reach 5.9% by year-end.** This would reflect the impact of weather-related phenomena on crops, as well as the presence of challenging base effects in certain months, given the unusually low monthly inflation readings observed in 2024.
- **Regulated: The evolution of utility tariffs will largely determine the performance of this category, which is expected to end the year at 6.8%.** Although price dynamics have moderated after reaching the highest levels in the past decade, they remain elevated, sustaining pressure on overall inflation.

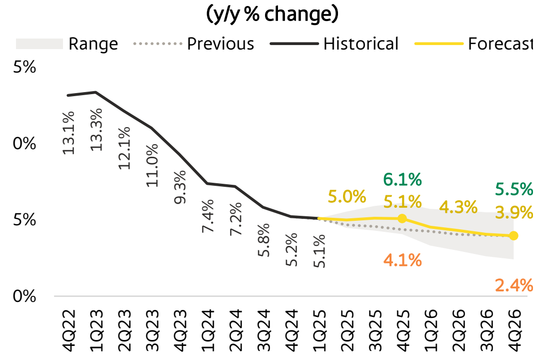
Core inflation (excluding food) is expected to end the year at 4.9%, while inflation excluding both food and regulated items would close at 4.3%. However, risks remain and should be closely monitored, including potential increases in input prices, raw materials, and logistical costs stemming from geopolitical and trade tensions.

Figure 25. Forecast of Annual Consumer Inflation (y/y % change)



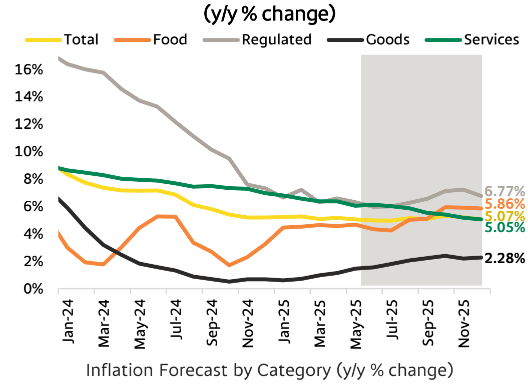
Source: DANE, forecast by Grupo Bancolombia.

Figure 26. Medium-Term Forecast of Annual Inflation (y/y % change)



Source: DANE, forecast by Grupo Bancolombia.

Figure 27. Inflation Forecast by Category (y/y % change)



Monetary policy interest rate

Monetary Policy Decisions would Remain Cautious in Response to Persistence of Inflationary Risks

The monetary policy interest rate is expected to continue declining gradually, within an environment marked by the caution warranted by persistent inflation and volatility in global financial conditions. By May, the Board of Directors of the Central Bank had cut the policy rate by 400 basis points from its 2023 peak, bringing it down to 9.25%. In April, it opted for a 25-basis point cut, responding to declines in both headline and core inflation, as well as lower market-based inflation expectations. However, in its communications, the Board has emphasized the persistence of several risks, including global trade tensions, uncertainty in international financial markets, domestic fiscal challenges, rising inflation expectations, and upward pressure on the country risk premium.

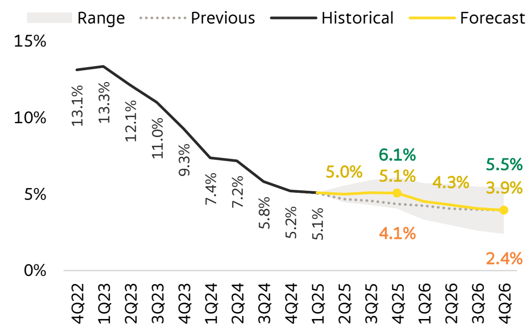
Rate cuts are expected to continue, albeit at a slower pace, driven by the sluggish decline in inflation and its core measures, as well as rising short- and medium-term inflation expectations. Although annual headline inflation has picked up slightly in the early months of the year—reaching 5.05%—core inflation excluding food declined to 5.15%, and the measure excluding both food and regulated items fell to 4.79%. Meanwhile, 24-month inflation expectations from the market consensus have remained stable at around 3.5%.

We expect the policy rate to decline to 8.25% by year-end, 100 basis points below its current level of 9.25%. This would keep the monetary policy stance firmly in contractionary territory and aligned with the objective of guiding inflation toward the target. Although the easing cycle would support the disinflationary process, the still restrictive rate level would reflect an unresolved inflationary environment, which is expected to show marked persistence in the second half of the year. This persistence would be driven by annual inflation remaining above 5.0% and by risks that remain tilted to the upside.

The evolution of economic growth and global financial conditions will remain a key factor in determining the pace of rate cuts. Recent activity data suggest that the economy continues a recovery path, supported by the decline in high interest rates. Meanwhile, external financing conditions will hinge on the trajectory of the Federal Reserve's monetary policy normalization process and the impact of trade tensions on US inflation.

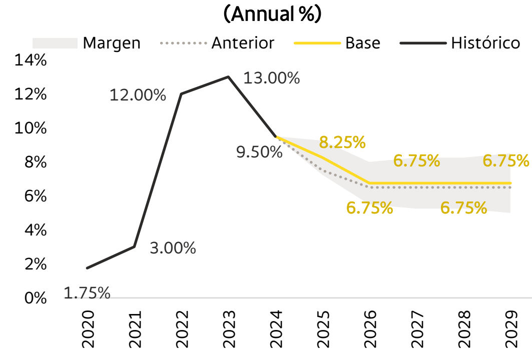
Thus, caution is likely to remain the defining feature guiding the magnitude of future rate cuts. This approach will be critical in the face of annual inflation that is expected to remain stagnant during the second half of 2025. Moreover, the current outlook for higher-for-longer interest rates in the US—driven by the potential inflationary impact of trade policy—reinforces the case for prudence by the central bank's board. This is essential to avoid second-round effects that could undermine the disinflation process and macro-financial stability.

Figure 28. Policy Rate Projection (% YoY)



Source: Central Bank, forecast by Grupo Bancolombia.

Figure 29. Medium-Term Monetary Policy Rate Forecast (Annual %)



Source: Central Bank, forecast by Grupo Bancolombia.

TES Bonds Market

Rise in Fiscal Uncertainty and Inflationary Challenges Have Constrained the Potential for Yield Curve Appreciation in 2H25

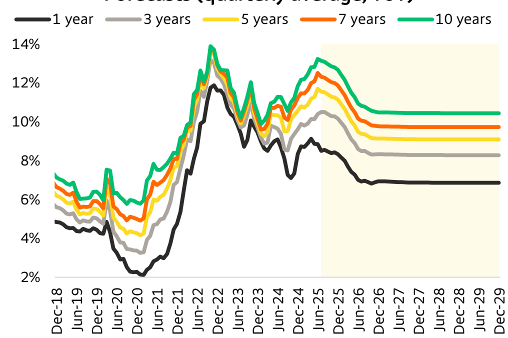
We expect the fixed-rate TES curve to exhibit a moderate bull flattener movement throughout the remainder of 2025, in a context where short-term rates would fall less than long-term rates amid inflationary risks and a complex fiscal outlook. Although there has been favorable demand from foreign investors between January and May, going forward long-term TES rates will remain under pressure due to the deterioration in the sovereign risk premium. This, combined with rising inflation and monetary policy rate expectations toward the end of 2025, suggests that the yield curve slope will decrease from the recent highs reached during Q2 of the year, leading us to foresee moderate appreciation and flattening.

Consistent with this view, we anticipate the entire TES curve to appreciate by an average of 49 bps during the second half. The greatest appreciation potential would be concentrated in the long-end segment of the curve, where our projections point to a zero-coupon TES yield of approximately 12.68% at the ten-year node, implying a 55-bp decline from current levels. Meanwhile, we expect one-year zero-coupon TES rates to settle near 8.34% by end-2025, reflecting a 51-bp appreciation. The curve slope (10-yr vs. 1-yr) would close 2025 around 401 bps, above the level observed in December 2024 (323 bps), and near recent highs.

We foresee less room for appreciation on the short-end of the curve, given the rise in inflation and future policy rate expectations. Compared to our March update, we now project a one-year rate that is 143 bps higher. This smaller scope for adjustment is consistent with projected inflation of 5.1% by year-end and a repo rate reaching 8.25% in December. Rising inflationary risks have constrained the space for rate cuts by the Central Bank, which will impact the short-term TES nodes.

Moreover, we have revised yields upward in the mid- and long-end of the curve due to the escalation of fiscal uncertainty. Relative to the March report, year-end TES rates at 5, 6, and 7 years are 255 bps higher, reflecting the deterioration in public finance outlook. In parallel, yields on 8-, 9-, and 10-year TES were revised up by an average of 273 bps. The publication of the Medium-Term Fiscal Framework revealed that the 2025 fiscal deficit will be higher than expected, with significant medium-term risks (here). In light of this, we anticipate the public finances imbalance will remain at challenging levels, meaning the risk premium and upward pressure on TES rates will remain relevant. Nevertheless, we highlight that offshore investors have acquired around COP 6.5 trillion in the first five months of the year, indicating attractive entry levels for some private investors.

Figure 30. Fixed-rate zero-coupon curve node rates Forecasts (quarterly average, YoY)



Source: Precia, forecasts by Grupo Bancolombia.

Table 5. Fixed-rate zero coupon curve interest rates Forecasts (year-end anual rate)

Year	1 year	3 years	5 years	7 years	10 years
2021	4.75%	6.90%	7.71%	8.09%	8.37%
2022	11.61%	12.38%	12.75%	12.91%	12.99%
2023	9.47%	9.73%	9.97%	10.19%	10.48%
2024	8.35%	9.61%	10.57%	11.23%	11.85%
2025	8.34%	10.17%	11.15%	11.88%	12.68%
2026	6.94%	8.34%	9.14%	9.77%	10.49%
2027	6.87%	8.29%	9.11%	9.74%	10.45%
2028	6.86%	8.29%	9.10%	9.73%	10.45%

Fuente: Precia, forecast by Grupo Bancolombia.

Medium-Term Forecasts Summary

Main Macroeconomic Variables Forecasts for the Coming Years

Year	2020	2021	2022	2023	2024	2025f	2026f	2027f	2028f	2029f
GDP growth (annual % var.)	-7.2%	10.8%	7.3%	0.7%	1.6%	2.6%	3.0%	2.9%	2.9%	2.9%
Central National Government balance (% GDP)	-7.8%	-7.0%	-5.3%	-4.2%	-6.7%	-7.1%	-6.2%	-4.9%	-4.6%	-4.2%
Current account balance (% GDP)	-3.4%	-5.6%	-6.0%	-2.3%	-1.7%	-2.4%	-3.1%	-3.3%	-3.3%	-3.3%
Urban unemployment rate (% EAP, aop)	19.1%	15.2%	11.4%	10.4%	10.1%	9.5%	9.7%	9.8%	9.9%	10.1%
Consumer inflation (annual % var., eop)	1.6%	5.6%	13.1%	9.3%	5.2%	5.1%	3.9%	3.7%	3.6%	3.6%
Central Bank reference rate (%, eop)	1.75%	3.00%	12.00%	13.00%	9.50%	8.25%	6.75%	6.75%	6.75%	6.75%
Gross loans by modality (nominal annual % change)	3.91%	10.33%	16.86%	1.89%	3.44%	6.12%	6.54%	6.89%	7.34%	7.34%
Loan quality index (% of total gross portfolio)	4.99%	3.93%	3.67%	5.00%	4.70%	4.25%	4.12%	4.11%	4.10%	4.10%
Money market DTF rate (%, eop)	3.38%	2.07%	8.50%	13.21%	10.17%	8.74%	7.26%	6.82%	6.86%	6.90%
Overnight IBR rate (%, eop)	1.74%	2.99%	11.95%	12.98%	9.51%	8.26%	6.75%	6.75%	6.75%	6.74%
USDCOP exchange rate (aop)	$ 3,693	$ 3,744	$ 4,256	$ 4,326	$ 4,074	$ 4,237	$ 4,294	$ 4,398	$ 4,487	$ 4,575
Oil Average Price (Brent, US$ per barrel)	$ 41.8	$ 70.7	$ 100.8	$ 82.5	$ 80.5	$ 71.1	$ 70	$ 71	$ 70	$ 70

Source: DANE, Ministry of Finance, Central Bank & Federal Reserve, forecasts by Grupo Bancolombia.

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Strategy System: The investment strategy on the issuers under coverage by the Market Research Management is governed by the strategy system presented below, subject to the following criteria:

The upside potential is the percentage difference between the target price of securities issued by a particular issuer and their market price. The target price is not a forecast of the price of a stock, but a fundamental independent valuation made by the Economic, Industry and Market Research Area, which seeks to reflect the fair price the market should pay for the shares on a given date.

Based on an analysis of the relative upside potential amongst the securities of companies under coverage and the COLCAP index, the strategies of the assets are determined as follows:

•**Overweight**: when the upside potential of a stock exceeds by 5% or more the return potential of the COLCAP index.

•**Speculative:** in those assets which investment case represents a risk above the Colcap average. It implies higher risks for the investor.

•**Marketweight:** when the upside potential of a stock does not differ by more than 5% from the return potential of the COLCAP index.

•**Underweight:** when the upside potential of a stock is 5% or more below the return potential of the COLCAP index.

•**Under Review:** the company's coverage is under review and therefore there is no strategy or target price.

Additionally, at the discretion of the analyst, the speculative qualification that complements the strategy will continue to be used, taking into account the risks seen in the performance of the asset, its future development and the volatility the movement of the stock may show.

The fundamental potential of the index is determined based on the methodology established by the BVC for the calculation of the COLCAP index, considering the target prices published by the Market Research Management. This will be made with the COLCAP basket on the dates of calculation May and November of every year. For the companies part of the index but not covered, the consensus of market analysts will be used.

Currently, the Market Research Management has 17 companies under coverage, distributed as follows:

	Overweight	Marketweight	Speculative Marketweight	Underweight
Number of issuers with long-term strategies of:	10	5	1	1
Percentage of issuers with long-term strategies of:	58.82%	29.41%	5.88%	5.88%

*Note: It will be updated once the issuer completes 15 consecutive days with the same strategy.